



Next stop: 10K!

PCs have just gone below the 15K mark and plan to go down further...

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You can buy a simple TV for less than Rs 10,000, or a music system with a DVD, MP3, VCD and CD-R. Seems like the day of sub-Rs 10,000 computers isn't far.

A few months ago, Raj Saraf, MD, Zenith Computers, commented in an interview given to CRN, the magazine, that the 'sub-10k PC' is, in fact, a not-too-distant reality. With hardware prices plummeting and the government's go-ahead to massive duty cuts on imports, the market was conducive for entrepreneurs such as HCL, Zenith, Wipro and Bitsy Infotech to target the middle-class consumer base. And it told on NASSCOM numbers and MAIT projections.

The cheap PC, however, is not anything new: the average PC offered by the assembler next door has shown a steady dip in prices since early 2000. It might not have undergone rigorous performance tests and quality checks, but it

Black Box, White Box

The trouble was with the software, especially the OS. For branded machines, the OS needs to be licensed, while in India, the assembled PC market runs almost entirely on pirated versions. PC manufacturers devised a clever solution: companies such as IBM and HP decided to migrate to Open Source OSes such as PC DOS and Linux. The Express series from IBM, for example, offer Pentium 4 machines with 128 MB of DDR RAM and the Intel 845GV chipset, running Windows XP, at prices less than Rs 40,000. The corresponding multimedia models with slightly slower processors are even cheaper. A 2.4 GHz ThinkCentre A30 with PC DOS bundled comes at an offer price of Rs 26,900. What's more, these machines come with three-year limited warranties.

But these are still expensive compared to what home-grown companies have to offer: Bitsy launched its sub-16K PCs a few months ago, and Zenith is currently offering its PCs at below Rs 15,000.

They all decided to go without the OS altogether. This 'white box' experiment has succeeded in bringing the prices down to seriously affordable levels. The elusive 10K wall, however, is proving difficult to breach. Says Devita Saraf of Zenith Computers, "We've done a market survey, and it (the 10K PC) is not possible, at least this quarter." So what will be the configuration of such a PC, if it comes out? "I have no idea," she says. "We will have to work on it. I can give you something for about Rs 12 - 13,000 right now."

The day is nigh

The change in government at the Centre has brought along a note of caution among PC resellers. It should not be too long, however, before we see PCs being sold alongside televisions and stereo decks. That will be the day to look out for. Meanwhile, let's keep our fingers crossed. 

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Devita Saraf
ZENITH COMPUTERS



Mahesh Benkar

worked, and no matter how many times the vendor had to be called up, after-sales service was always there.

The problem with branded PCs was that they were focusing on quality, rather than price.